



Contemporary · academic economists of platform strategy.

"Data advantage must compound to matter."

THE WHY THAT DROVE THE WORK

Hagiu and Wright examine when data genuinely creates competitive advantage — and caution that, contrary to popular belief, more data does not automatically compound into a moat.

INTELLECTUAL FOUNDATION

Their research on multi-sided platforms and data-enabled learning distinguishes the conditions under which data improves a product and is hard to replicate.

FRAMEWORKS ANCHORED IN THIS COURSE

They anchor Data Network Effects and inform the Proprietary Data Flywheel and Data Moat Strength in Units 1 and 4.

HOW THE IDEAS OPERATIONALISE

Their analysis operationalises as testing whether additional data measurably improves the product and whether that improvement is defensible.

LIMITATIONS & CRITIQUE

The conditions for genuine data advantage are stringent and context-specific, making general prescriptions difficult.

ENDURING IMPACT

Their work brought rigour to the loose claim of 'data moats', shaping how investors and strategists assess data-based advantage.

ON THE SAME PANEL (UNIT 4)

Jyh-An Lee et al. · Giant 16

Hamilton Helmer · Giant 17

Peter Thiel · Giant 18

Lawrence Lessig · Giant 19

SOURCES (HARVARD REFERENCING STYLE)

Hagiu, A. and Wright, J. (2020) 'When data creates competitive advantage', Harvard Business Review, 98(1).

Hagiu, A. and Wright, J. (2023) 'Data-enabled learning, network effects, and competitive advantage', RAND Journal of Economics, 54(4).